CAPITAL IMPROVEMENT PLAN

Upland Business Park | Detroit, MI

Property	Upland Business Park
Plan Date	September 14, 2024
Prepared For	Vireo Income Properties
Total Plan Budget	$371,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
LED lighting retrofit	Life Safety	10/31/26	Q1 2027	$118,000	$65,564	Approved
Fence replacement	Life Safety	01/13/26	Q1 2027	$288,000	$175,432	In progress
Door hardware	Building	10/10/24	Q3 2027	$318,000	$48,280	In progress
Door hardware	Interior	01/03/26	Q2 2027	$245,000	$23,260	In progress
Storefront glazing	Building	08/09/26	Q3 2025	$172,000	$178,889	Deferred
Elevator modernization	Site	04/27/25	Q4 2027	$23,000	$5,821	Deferred
ADA compliance	Life Safety	10/16/25	Q1 2025	$50,000	$37,537	Approved
HVAC replacement	Site	09/26/23	Q2 2025	$825,000	$811,770	Deferred
ADA compliance	Interior	06/30/24	Q1 2026	$574,000	$426,602	Complete
Elevator modernization	Interior	08/28/26	Q4 2025	$70,000	$46,200	Bidding
HVAC replacement	Life Safety	02/27/24	Q3 2025	$60,000	$35,154	Deferred
Fence replacement	Interior	12/07/26	Q2 2026	$460,000	$341,794	Approved
Parking lot resurfacing	Interior	08/25/25	Q3 2026	$197,000	$86,960	In progress
HVAC replacement	Life Safety	07/14/24	Q2 2026	$528,000	$432,693	Deferred
Sewer line repair	Interior	03/04/23	Q2 2027	$357,000	$58,519	Deferred
Fence replacement	Interior	12/31/26	Q4 2025	$520,000	$439,709	Approved
Parking lot resurfacing	Building	08/11/24	Q3 2025	$226,000	$136,732	Deferred
Pool resurfacing	Life Safety	02/10/23	Q4 2025	$758,000	$420,500	Complete
Lobby renovation	Life Safety	09/10/23	Q4 2025	$645,000	$643,471	Bidding
Pool resurfacing	Building	02/13/26	Q4 2026	$740,000	$685,232	Complete
Roof replacement - Bldg B	Life Safety	02/27/25	Q2 2026	$791,000	$188,161	Bidding
Door hardware	Interior	07/16/26	Q3 2025	$265,000	$93,282	Complete
LED lighting retrofit	Interior	02/27/26	Q4 2026	$265,000	$257,731	Approved

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
HVAC replacement	Site	09/06/24	Q3 2027	$704,000	$646,244	Complete
Lobby renovation	Interior	01/19/24	Q1 2026	$731,000	$52,380	Bidding
Amenity renovation	Energy	03/12/24	Q1 2027	$873,000	$617,634	Deferred
Sewer line repair	Site	04/23/23	Q1 2026	$32,000	$32,631	Approved
Fence replacement	Life Safety	11/23/24	Q3 2025	$806,000	$98,471	Complete
Pool resurfacing	Site	01/26/26	Q3 2027	$187,000	$96,658	Deferred
Pool resurfacing	Life Safety	07/10/23	Q4 2026	$273,000	$173,660	Complete
Storefront glazing	Site	07/01/26	Q3 2026	$545,000	$453,400	Approved
Unit interior upgrades	Interior	03/26/23	Q2 2025	$419,000	$173,809	In progress
Parking lot resurfacing	Site	09/13/23	Q4 2026	$471,000	$201,665	In progress
Amenity renovation	Interior	11/24/25	Q4 2025	$367,000	$105,024	Bidding
Sewer line repair	Life Safety	10/11/25	Q2 2027	$616,000	$559,787	Deferred
Pool resurfacing	Energy	11/01/26	Q4 2026	$52,000	$14,452	Complete
Fence replacement	Site	06/19/26	Q3 2026	$757,000	$406,187	Deferred
Door hardware	Building	03/15/25	Q2 2026	$220,000	$140,859	Bidding
HVAC replacement	Site	09/20/25	Q4 2026	$788,000	$80,315	Bidding
Water heater replacement	Interior	03/19/25	Q3 2026	$584,000	$546,083	Complete
Sewer line repair	Interior	08/03/25	Q4 2027	$191,000	$98,244	Complete
Parking lot resurfacing	Life Safety	05/01/26	Q4 2027	$760,000	$47,778	Complete
Lobby renovation	Energy	03/09/26	Q2 2026	$387,000	$83,130	Approved
HVAC replacement	Life Safety	06/09/23	Q4 2027	$196,000	$134,589	Bidding
Sewer line repair	Life Safety	01/30/25	Q1 2026	$621,000	$488,268	Bidding
LED lighting retrofit	Site	03/24/23	Q2 2026	$338,000	$232,593	Deferred
Security camera upgrade	Site	03/25/23	Q2 2025	$599,000	$496,611	Approved
Water heater replacement	Interior	05/02/26	Q4 2026	$313,000	$49,577	Approved
Unit interior upgrades	Energy	12/24/26	Q3 2026	$206,000	$37,740	Deferred
Fence replacement	Energy	03/13/23	Q1 2026	$125,000	$87,030	In progress
Signage / monument	Building	05/05/26	Q3 2026	$121,000	$111,188	Bidding
Exterior paint	Life Safety	06/22/23	Q2 2027	$307,000	$105,390	Bidding
Exterior paint	Interior	10/04/24	Q3 2027	$35,000	$23,948	Approved
Security camera upgrade	Site	08/21/25	Q3 2026	$683,000	$56,859	Deferred
Exterior paint	Interior	11/27/26	Q3 2026	$615,000	$477,021	Approved
Fence replacement	Energy	07/07/24	Q4 2026	$590,000	$388,730	Approved
Roof replacement - Bldg A	Building	12/30/25	Q3 2026	$160,000	$60,196	Approved
HVAC replacement	Life Safety	12/03/26	Q3 2027	$233,000	$15,466	Complete
Door hardware	Energy	05/14/25	Q3 2025	$181,000	$162,259	In progress
ADA compliance	Life Safety	02/08/24	Q2 2025	$340,000	$142,733	Approved
Exterior paint	Energy	06/15/24	Q1 2027	$548,000	$48,751	Approved
Signage / monument	Interior	06/10/25	Q4 2027	$191,000	$105,466	Complete
Pool resurfacing	Life Safety	04/15/23	Q4 2027	$421,000	$246,078	In progress

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Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 9 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $60,000.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 24 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 10 years ago and are operating without deficiency.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building offers 21' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The facility is located 7 miles from the interstate with access to a regional intermodal terminal.

In-place rents average $11 per square foot triple net with 3% annual escalations. The building offers 19' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The facility is located 9 miles from the interstate with access to a regional intermodal terminal. Distributions to investors for the quarter were paid at an annualized rate of 6.3% on contributed capital. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Deferred Maintenance

Elevators were last modernized 8 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $458,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 4 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 18 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $478,000.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 6.9% with an equity multiple of 1.38x over the hold period. The building offers 48' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $11 per square foot triple net with 3% annual escalations.

The building offers 27' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Distributions to investors for the quarter were paid at an annualized rate of 6.0% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. In-place rents average $11 per square foot triple net with 3% annual escalations.

Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $308,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $334,000. Elevators were last modernized 6 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Business Plan Progress

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fire alarm panel upgrade	Site	08/22/24	Q1 2025	$710,000	$52,635	In progress
Amenity renovation	Building	12/28/25	Q3 2027	$260,000	$121,738	Complete
Fire alarm panel upgrade	Site	10/16/26	Q1 2025	$892,000	$611,643	Complete
Security camera upgrade	Site	11/17/25	Q3 2025	$19,000	$11,480	Approved
Lobby renovation	Site	08/30/23	Q3 2025	$703,000	$376,703	Bidding
HVAC replacement	Energy	12/20/24	Q3 2026	$589,000	$217,808	Deferred
Sewer line repair	Interior	06/05/23	Q1 2027	$223,000	$127,479	Approved
Storefront glazing	Interior	10/04/26	Q4 2025	$790,000	$153,148	Deferred
Security camera upgrade	Site	08/05/25	Q3 2026	$104,000	$53,316	In progress
Fence replacement	Interior	05/31/24	Q1 2027	$284,000	$206,079	In progress
Fire alarm panel upgrade	Life Safety	09/30/23	Q4 2025	$111,000	$57,106	Approved
Landscape / irrigation	Energy	01/21/24	Q3 2026	$711,000	$210,431	Bidding
Landscape / irrigation	Site	04/26/24	Q4 2025	$280,000	$58,503	In progress
Lobby renovation	Building	10/03/25	Q4 2027	$356,000	$219,543	Complete
Elevator modernization	Site	05/24/23	Q4 2026	$510,000	$103,020	Approved
Fire alarm panel upgrade	Building	04/23/26	Q3 2027	$800,000	$55,541	Approved
Unit interior upgrades	Site	05/13/26	Q1 2027	$740,000	$732,583	Approved
Sewer line repair	Building	07/02/24	Q1 2027	$132,000	$93,392	Bidding
Landscape / irrigation	Energy	06/15/26	Q1 2026	$225,000	$1,020	Deferred
Fire alarm panel upgrade	Building	07/25/24	Q3 2027	$160,000	$144,399	Complete
Storefront glazing	Life Safety	02/08/23	Q2 2025	$747,000	$173,031	Complete
Fire alarm panel upgrade	Site	04/28/25	Q1 2026	$668,000	$649,404	Complete
Landscape / irrigation	Energy	03/21/24	Q1 2025	$96,000	$20,785	In progress
Parking lot resurfacing	Energy	04/12/23	Q3 2027	$593,000	$131,656	Deferred
Lobby renovation	Energy	11/25/26	Q4 2025	$390,000	$64,954	In progress
Landscape / irrigation	Site	06/09/25	Q1 2025	$668,000	$64,846	Deferred
Fence replacement	Building	05/05/23	Q3 2026	$729,000	$481,729	Bidding
Water heater replacement	Site	09/14/24	Q2 2026	$567,000	$72,689	In progress
Fence replacement	Life Safety	02/10/23	Q4 2027	$206,000	$108,035	Complete
Parking lot resurfacing	Life Safety	05/18/25	Q3 2027	$863,000	$766,248	Bidding
HVAC replacement	Life Safety	02/14/23	Q3 2025	$283,000	$60,234	Complete
Amenity renovation	Site	01/05/25	Q2 2025	$657,000	$104,359	Bidding
ADA compliance	Building	06/08/26	Q4 2026	$409,000	$156,838	Bidding
Fence replacement	Building	02/25/25	Q2 2026	$181,000	$154,041	In progress
Elevator modernization	Energy	01/28/23	Q3 2025	$414,000	$106,840	Approved
Signage / monument	Interior	01/06/24	Q1 2026	$392,000	$17,286	In progress
HVAC replacement	Building	03/27/24	Q4 2025	$269,000	$157,080	In progress
Water heater replacement	Life Safety	01/13/25	Q2 2027	$730,000	$359,944	Bidding
Water heater replacement	Interior	09/11/24	Q2 2025	$343,000	$349,633	In progress
HVAC replacement	Site	11/14/24	Q4 2027	$80,000	$21,832	In progress
Pool resurfacing	Life Safety	01/12/26	Q4 2025	$209,000	$169,305	Bidding

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Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $445,000. Elevators were last modernized 4 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 10 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 41 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $11,000.

Risk Considerations

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Projected levered IRR is 3.4% with an equity multiple of 1.10x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The building offers 42' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Projected levered IRR is 8.6% with an equity multiple of 1.30x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 21 months.

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $439,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 6 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 45 months.

Investor Distributions

Projected levered IRR is 3.5% with an equity multiple of 1.7x over the hold period. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. The building offers 43' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building offers 8' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 5 miles from the interstate with access to a regional intermodal terminal.

Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 8 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 15 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $259,000.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $108,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 39 months. Elevators were last modernized 6 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Security camera upgrade	Energy	07/03/24	Q3 2027	$294,000	$274,832	Deferred
HVAC replacement	Life Safety	02/10/25	Q3 2025	$323,000	$83,210	In progress
Security camera upgrade	Energy	04/28/26	Q4 2027	$636,000	$271,903	Complete
HVAC replacement	Building	02/23/26	Q2 2026	$23,000	$21,160	Approved
Sewer line repair	Life Safety	08/11/26	Q3 2025	$145,000	$130,650	Approved
Door hardware	Energy	07/30/25	Q4 2026	$18,000	$3,470	Bidding
Unit interior upgrades	Life Safety	07/10/25	Q1 2026	$261,000	$104,333	Bidding
Landscape / irrigation	Building	05/04/25	Q1 2026	$879,000	$505,394	Bidding
Roof replacement - Bldg D	Life Safety	10/30/23	Q2 2027	$743,000	$499,609	Deferred
Door hardware	Building	08/02/23	Q2 2026	$891,000	$562,560	In progress
Water heater replacement	Building	01/01/24	Q4 2027	$364,000	$109,321	Deferred
Signage / monument	Life Safety	05/22/25	Q1 2027	$658,000	$549,698	Deferred
Parking lot resurfacing	Building	09/11/24	Q3 2026	$751,000	$588,094	Complete
Signage / monument	Energy	08/03/25	Q2 2026	$393,000	$283,165	Approved
Landscape / irrigation	Building	07/16/25	Q2 2025	$470,000	$469,079	Deferred
Parking lot resurfacing	Site	05/17/26	Q2 2026	$700,000	$360,083	Complete
ADA compliance	Site	10/31/26	Q1 2026	$799,000	$33,468	Bidding
ADA compliance	Building	01/18/25	Q4 2025	$534,000	$194,089	In progress
Fence replacement	Life Safety	05/28/26	Q1 2026	$794,000	$361,472	Bidding
Security camera upgrade	Site	02/13/24	Q1 2026	$384,000	$246,973	Complete
Fence replacement	Interior	01/08/23	Q3 2025	$103,000	$63,217	Approved
Water heater replacement	Interior	01/07/26	Q3 2026	$718,000	$594,142	Complete
Storefront glazing	Building	06/29/25	Q1 2026	$222,000	$131,388	Approved
Sewer line repair	Energy	11/18/24	Q4 2025	$676,000	$442,903	Approved
Sewer line repair	Building	07/04/25	Q1 2026	$807,000	$69,463	Deferred
Exterior paint	Site	11/14/25	Q3 2026	$871,000	$821,946	Approved
Door hardware	Site	06/13/26	Q3 2027	$111,000	$62,361	In progress
Storefront glazing	Building	12/10/24	Q4 2027	$583,000	$583,561	In progress
Fire alarm panel upgrade	Life Safety	07/10/26	Q4 2025	$487,000	$121,301	Complete
Signage / monument	Energy	02/12/25	Q4 2026	$254,000	$158,637	In progress
Security camera upgrade	Life Safety	07/19/23	Q2 2025	$329,000	$61,119	Deferred
Elevator modernization	Interior	12/10/26	Q4 2026	$487,000	$349,559	Approved
Unit interior upgrades	Building	03/14/26	Q2 2026	$184,000	$154,775	Complete
Security camera upgrade	Energy	09/19/26	Q1 2026	$176,000	$131,814	In progress
ADA compliance	Interior	05/23/24	Q3 2027	$703,000	$262,455	Approved
HVAC replacement	Site	07/17/24	Q4 2027	$146,000	$4,912	Deferred
Elevator modernization	Building	11/15/24	Q1 2027	$665,000	$403,353	Bidding
LED lighting retrofit	Life Safety	10/22/26	Q1 2027	$29,000	$10,387	Deferred
Parking lot resurfacing	Energy	03/04/24	Q1 2026	$756,000	$711,113	Complete
Fire alarm panel upgrade	Energy	07/20/23	Q4 2027	$288,000	$195,699	Approved

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Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $97,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 44 months.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $235,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The building offers 14' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Projected levered IRR is 11.2% with an equity multiple of 1.15x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 5.0% on contributed capital. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The facility is located 4 miles from the interstate with access to a regional intermodal terminal.

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $112,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 8 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 12 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Business Plan Progress

Projected levered IRR is 12.4% with an equity multiple of 1.22x over the hold period. The facility is located 9 miles from the interstate with access to a regional intermodal terminal. The building offers 29' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. In-place rents average $11 per square foot triple net with 3% annual escalations. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 12.1% with an equity multiple of 1.27x over the hold period.

Observed Conditions

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 29 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 24 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $461,000. Elevators were last modernized 5 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Risk Considerations

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Signage / monument	Building	10/31/25	Q4 2027	$573,000	$236,475	Complete
Exterior paint	Site	04/26/23	Q2 2027	$480,000	$102,381	Deferred
HVAC replacement	Interior	09/23/24	Q4 2027	$555,000	$217,917	Approved
Pool resurfacing	Site	11/27/26	Q4 2026	$825,000	$631,716	In progress
Exterior paint	Life Safety	04/19/25	Q2 2027	$570,000	$347,487	Deferred
Fence replacement	Interior	09/09/23	Q1 2025	$141,000	$22,662	Bidding
Amenity renovation	Interior	10/12/24	Q3 2025	$167,000	$127	Approved
Sewer line repair	Building	12/27/25	Q4 2026	$11,000	$3,253	Deferred
Unit interior upgrades	Energy	05/11/26	Q3 2025	$714,000	$721,334	Complete
Storefront glazing	Interior	06/23/25	Q2 2026	$210,000	$100,492	Deferred
LED lighting retrofit	Energy	05/30/25	Q3 2026	$488,000	$269,020	Complete
Water heater replacement	Interior	08/15/25	Q3 2027	$69,000	$16,625	Approved
LED lighting retrofit	Interior	03/18/26	Q1 2027	$634,000	$539,416	Bidding
Exterior paint	Interior	02/08/26	Q3 2027	$119,000	$91,624	Complete
Fire alarm panel upgrade	Site	01/11/26	Q1 2027	$376,000	$97,864	Approved
Sewer line repair	Interior	06/14/24	Q2 2027	$631,000	$629,071	Deferred
Lobby renovation	Life Safety	02/16/26	Q2 2026	$870,000	$588,454	Bidding
Fire alarm panel upgrade	Building	01/10/23	Q2 2027	$222,000	$67,172	Approved
Lobby renovation	Life Safety	01/24/25	Q3 2026	$80,000	$30,553	Approved
Water heater replacement	Interior	12/26/24	Q2 2026	$796,000	$307,535	In progress
Fire alarm panel upgrade	Interior	06/12/26	Q3 2026	$70,000	$58,629	Complete
HVAC replacement	Energy	07/18/24	Q2 2025	$579,000	$559,713	Complete
Roof replacement - Bldg C	Site	02/12/25	Q3 2025	$685,000	$194,792	Bidding
ADA compliance	Interior	03/14/25	Q2 2027	$364,000	$131,018	Approved
Fire alarm panel upgrade	Building	02/08/23	Q2 2025	$793,000	$112,781	In progress
Exterior paint	Site	12/02/26	Q1 2025	$331,000	$237,757	In progress
Landscape / irrigation	Life Safety	09/29/26	Q4 2026	$273,000	$12,778	In progress
Storefront glazing	Life Safety	01/29/24	Q1 2025	$777,000	$159,891	Complete
Water heater replacement	Building	02/13/26	Q4 2027	$148,000	$5,478	Bidding
Unit interior upgrades	Site	02/12/26	Q2 2025	$492,000	$105,450	In progress
Sewer line repair	Life Safety	05/03/23	Q4 2027	$744,000	$219,492	Approved
Fire alarm panel upgrade	Life Safety	05/10/26	Q3 2027	$486,000	$63,856	Approved
LED lighting retrofit	Building	04/21/24	Q1 2026	$821,000	$545,627	Bidding
Unit interior upgrades	Interior	05/10/24	Q2 2025	$278,000	$19,207	Bidding
Fence replacement	Building	03/17/24	Q1 2025	$661,000	$543,043	Bidding
Landscape / irrigation	Interior	09/05/26	Q2 2027	$699,000	$411,142	Approved
Door hardware	Site	07/21/24	Q3 2027	$368,000	$31,821	Bidding
Pool resurfacing	Life Safety	08/19/24	Q1 2025	$352,000	$118,954	Bidding
Parking lot resurfacing	Energy	11/30/23	Q3 2027	$311,000	$184,153	Deferred
Unit interior upgrades	Site	01/28/23	Q4 2025	$583,000	$565,691	Approved
LED lighting retrofit	Site	02/10/26	Q2 2026	$898,000	$498,714	Approved

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Recommendations

Elevators were last modernized 3 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $431,000.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $286,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 9 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 9 years ago and are operating without deficiency.

Business Plan Progress

The facility is located 3 miles from the interstate with access to a regional intermodal terminal. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. In-place rents average $11 per square foot triple net with 3% annual escalations. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Projected levered IRR is 8.8% with an equity multiple of 1.13x over the hold period. The facility is located 5 miles from the interstate with access to a regional intermodal terminal. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building offers 38' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Observed Conditions

Elevators were last modernized 4 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 5 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $67,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Investment Overview

The facility is located 5 miles from the interstate with access to a regional intermodal terminal. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 3.7% with an equity multiple of 1.6x over the hold period.

Projected levered IRR is 12.0% with an equity multiple of 1.38x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. In-place rents average $11 per square foot triple net with 3% annual escalations. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. Distributions to investors for the quarter were paid at an annualized rate of 3.8% on contributed capital.

Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 9 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 6 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $119,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 6 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Risk Considerations

Distributions to investors for the quarter were paid at an annualized rate of 7.5% on contributed capital. Projected levered IRR is 5.2% with an equity multiple of 1.34x over the hold period. The facility is located 6 miles from the interstate with access to a regional intermodal terminal. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Security camera upgrade	Energy	11/24/23	Q4 2025	$704,000	$707,717	Deferred
Landscape / irrigation	Site	12/28/26	Q1 2025	$142,000	$26,596	Approved
Signage / monument	Site	05/30/23	Q1 2025	$438,000	$328,012	Bidding
Amenity renovation	Life Safety	10/03/24	Q3 2026	$384,000	$188,206	Approved
Fence replacement	Building	10/17/26	Q4 2027	$805,000	$604,033	Bidding
Parking lot resurfacing	Site	10/29/23	Q2 2027	$227,000	$197,008	Complete
Lobby renovation	Energy	03/17/23	Q2 2025	$449,000	$240,006	Deferred
Sewer line repair	Energy	05/22/23	Q2 2027	$401,000	$21,799	Bidding
Landscape / irrigation	Life Safety	02/09/23	Q1 2025	$446,000	$330,754	Deferred
Pool resurfacing	Life Safety	06/29/26	Q1 2027	$318,000	$8,302	Complete
Security camera upgrade	Site	01/27/26	Q3 2027	$877,000	$198,843	Complete
Amenity renovation	Interior	11/16/24	Q1 2026	$622,000	$383,854	Approved
Landscape / irrigation	Site	11/11/26	Q4 2026	$809,000	$319,685	Deferred
Signage / monument	Life Safety	10/26/25	Q1 2025	$332,000	$267,821	In progress
Door hardware	Site	04/12/25	Q4 2027	$207,000	$140,943	Approved
LED lighting retrofit	Energy	01/21/26	Q2 2026	$303,000	$85,459	Bidding
Fire alarm panel upgrade	Life Safety	06/29/23	Q3 2025	$889,000	$620,044	In progress
Roof replacement - Bldg A	Interior	10/01/24	Q1 2026	$96,000	$89,461	Approved
Landscape / irrigation	Building	08/02/25	Q4 2025	$563,000	$4,064	Bidding
LED lighting retrofit	Energy	10/01/26	Q2 2027	$760,000	$768,020	Bidding
Roof replacement - Bldg B	Energy	12/28/26	Q4 2025	$680,000	$590,234	Deferred
Pool resurfacing	Site	12/22/26	Q4 2026	$386,000	$202,159	Deferred
Landscape / irrigation	Interior	09/23/25	Q2 2026	$275,000	$60,837	Approved
Unit interior upgrades	Building	09/25/25	Q1 2026	$818,000	$5,022	Complete
Door hardware	Site	09/25/23	Q3 2026	$94,000	$83,626	In progress
Roof replacement - Bldg D	Building	12/17/23	Q4 2026	$606,000	$159,278	In progress
Unit interior upgrades	Life Safety	08/25/26	Q2 2025	$209,000	$57,589	In progress
Fire alarm panel upgrade	Life Safety	12/26/23	Q1 2026	$77,000	$46,707	Deferred
Pool resurfacing	Life Safety	04/29/24	Q1 2027	$154,000	$72,803	Deferred
Sewer line repair	Interior	07/27/25	Q3 2026	$131,000	$56,324	In progress
Water heater replacement	Interior	07/29/24	Q2 2026	$473,000	$175,254	Bidding
Amenity renovation	Site	09/13/24	Q4 2025	$235,000	$145,259	Deferred
Lobby renovation	Life Safety	09/18/24	Q2 2025	$792,000	$47,524	Deferred
Sewer line repair	Building	10/29/24	Q3 2026	$742,000	$380,905	Deferred
Landscape / irrigation	Life Safety	02/08/23	Q3 2025	$883,000	$492,334	In progress
Fence replacement	Interior	11/19/25	Q3 2026	$154,000	$54,064	Approved
Storefront glazing	Life Safety	12/06/26	Q4 2025	$232,000	$117,552	Approved
Roof replacement - Bldg A	Site	03/06/24	Q3 2027	$533,000	$96,632	Deferred
Door hardware	Building	12/23/26	Q1 2027	$294,000	$167,868	Deferred
Water heater replacement	Site	04/04/26	Q1 2026	$335,000	$68,101	Complete
Elevator modernization	Building	08/12/25	Q2 2026	$363,000	$334,868	Approved
Exterior paint	Building	07/11/26	Q3 2027	$340,000	$283,169	In progress
Signage / monument	Energy	07/03/26	Q2 2026	$450,000	$201,740	Bidding

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Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 17 months.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 22 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $262,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Investment Overview

Projected levered IRR is 10.4% with an equity multiple of 1.45x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. In-place rents average $11 per square foot triple net with 3% annual escalations. The facility is located 6 miles from the interstate with access to a regional intermodal terminal.

In-place rents average $11 per square foot triple net with 3% annual escalations. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Deferred Maintenance

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 8 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 3 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $145,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. The facility is located 9 miles from the interstate with access to a regional intermodal terminal.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The building offers 40' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns.

Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $65,000. Elevators were last modernized 5 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 39 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Elevators were last modernized 11 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $60,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investment Overview

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Summary and Notes

Financial Analysis

Effective gross income for the trailing period was $330,000, representing a 3.3% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.20% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.81x on a trailing basis against a covenant minimum of 1.20x. In-place rents average $11 per square foot triple net with 3% annual escalations.

Debt service coverage ratio was 6.24x on a trailing basis against a covenant minimum of 1.20x. The facility is located 2 miles from the interstate with access to a regional intermodal terminal. Effective gross income for the trailing period was $204,000, representing a 3.7% increase over the prior year. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The going-in capitalization rate of 7.17% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 42 additional team members. In-place rents average $11 per square foot triple net with 3% annual escalations. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building offers 34' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day.

The building offers 11' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Collections for the period were 91.9% of billed charges, with bad debt of 3.7% of gross potential income. In-place rents average $11 per square foot triple net with 3% annual escalations. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day.

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